Case 5 Death or Debt Confound Egyptians

By Tarek El-Tablawy and Salma El Wardany on October 11, 2012
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Mohamed Mursi, president of Egypt. Photographer: Jin Lee/Bloomberg

On a warm September morning as Egypt's President Mohamed Mursi began his 74th day in office, Heba Ibrahim's mother took her last breath.
Five weeks of treatment for kidney failure at a Cairo hospital had left the 56-year-old mother of four emaciated. Her normally bronze complexion was sallow and the smile that had shepherded her children from infancy to adulthood disappeared behind the mask of a coma. The final breath was drawn on the day the last of Ibrahim's savings ran out.

"It was as if she knew -- knew that while she was worth the world to me, we had nothing left to pay to save her life," Ibrahim said in a recent interview, blaming what she said was a health care

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system that helps only those with means. “Is this the new Egypt we were promised? A miserable country where the only thing left is to sell myself to raise money?”

Her experience highlights the difficulties facing Mursi as he passed 100 days in office this week, a date by which the Islamist had pledged to cure 64 of the ills that beset everyday life under President Hosni Mubarak. Sworn into office in June, he squeezed past his rival Ahmed Shafik with promises of immediate action to clean the streets, improve security and ease traffic congestion, along with longer-term goals of greater social justice and lower poverty.

He’s accomplished only four of the short-term pledges, according to the Mursi Meter, a website launched by Zabatak, a nonprofit organization run by politically unaffiliated young people that says it seeks an Egypt “free and safe.”

‘Losing Hope’
Several activist groups have called for a protest tomorrow against what they say is the overwhelming influence the Islamists are wielding in the writing of a new constitution and the government’s lack of progress so far. Parts of the draft were unveiled yesterday.

“Change hasn’t brought any real benefits on the ground yet,” Said Hirsh, Middle East economist with Capital Economics, said by phone. “People’s expectations are higher” than the government’s “ability to deliver with speed. That risks people losing hope that things will change.”

The economy has shown few signs of emerging quickly from its worst economic crisis in a decade, while a $4.8 billion loan application from the International Monetary Fund has yet to be agreed. This leaves the government struggling to find money for the social projects that are a priority for Mursi.

Unemployment has climbed to 12.6 percent and the country needs growth of 7.5 percent to bring that down, the government said on Oct. 9. That’s a distant goal for now -- Prime Minister Hisham Qandil says he’s targeting economic expansion of as much as 4.5 percent this year. The country’s economic growth fell to 1.8 percent last year, a 19-year low.

Parliament Dissolved
There are other uncertainties -- the courts dissolved parliament, there’s no constitution and arrests on blasphemy charges have fueled criticism that Mursi, 61, hasn’t matched his rhetoric of freedom and dignity with action. There’s no date for fresh elections, which will only come after the constitution is drafted and ratified.

“There’s been a desire to garner enough political goodwill before the right economic decisions -- or before the controversial economic decisions -- are taken,” according to Wael Ziada of EFG Hermes Holding SAE.

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While analysts and economists are eying macroeconomic barometers, Egyptians, of whom nearly half live on or below the poverty line, focus on the tangible changes.

'Second Revolution'
In an Oct. 6 speech commemorating the 1973 war with Israel, having prefaced his remarks with a victory lap in an open-top vehicle driven around a Cairo stadium track, Mursi dismissed criticism that he had wasted public money by taking at least nine overseas trips. The visits were aimed at winning investments.

"I still live in a rented apartment," he said.
He has had successes, for example ending a tug-of-war with the military council that inherited power from Mubarak and forcibly retiring the two most powerful generals. Mahmoud Ghozlan, a spokesman for the Brotherhood, described it in a recent interview as "the second revolution." Mursi, a U.S.- trained engineer, says he inherited a nation mired in debt and a legacy of corruption.

The president buttressed his accomplishments with statistics, though did not say from where they came. He said in his Oct. 6 speech that 70 percent of his 100-day plan's security goals were realized together with a majority of targets on bread, traffic and fuel shortages.

"Really?" bus driver Abdel-Halim Arafa said when asked about the president's comments in a recent interview. Arafa's wait at a Cairo gasoline station was in its second hour, the view from his driver-side window one of a mountain of garbage uncollected on the side of the road. "I hadn't noticed."

Medical Costs
Ibrahim's near-bankruptcy from medical costs is just another example of the challenges the Muslim Brotherhood-backed Islamist faces. Striking doctors seeking a bigger health budget said yesterday that Egypt was headed for a "health care collapse" and that 20 million Egyptians, about one in four, have Hepatitis C.

As doctors unplugged the respirator, Ibrahim, a divorced mother of a three-year-old boy living with two of her three siblings, took stock. A mother dead, friends owed more than 4,000 Egyptian pounds, almost every bit of furniture that held some value sold and a lost 5,000 pound security deposit on the apartment they all shared. In debt and without a steady income, they now faced eviction after having paid more than 10,000 pounds for the roughly five-week hospital stay.

Ibrahim said she was met with bureaucratic intransigence when she applied to have the state cover her mother's medical costs -- something she says was much easier under Mubarak.
"I can't see any change," Wael Khalil, an activist and member of the National Front of secularist groups that had rallied behind Mursi in his race against Shafiq, Mubarak's last premier.
"Decisions are still made with the same authoritarian attitude."

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Analysis

1. Identify what "personal debt" influences and what influences it. Quantify the variables identified.
2. Develop a reinforcing loop.
3. Create a balancing loop on top of the existing loop. Evaluate its significance.

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